

WEEK 1

1. Russia has a population of 1 million and can produce rice and fish. In this country, one person can produce either 10 tons of fish or 5 tons of rice.

Turkey has a population of 10 million. In this country, one person can produce either 16 tons of fish or 7 tons of rice.

	Fish	Rice
Russia	10 $10F = 5 R$ $1F = 5/10 = 0.5r$	5 $1R = 10/5 = 2f$
Turkey	16 $16F = 7R$ $1F = 7/16 = 0.4375R$	7 $1R = 16/7 = 2.2875 F$

Determine which country has a comparative advantage in rice (R) and which country has a comparative advantage in fish (T).

2. In your opinion, can a country lose its comparative advantage in producing goods that have long been its major export products? Explain why and discuss what may happen as a result.
3. Look at the table below.

	CASE A		CASE B	
	US	Germany	US	Germany
Wheat (tons/working hour)	4w=1C $1w = 1/4 = 0.25$	1 $1w = 2c$	4 $1w = 3/4 = 0.75$	1 $1w = 2c$
Corn (tons/working hour)	1c = 4/1 = 4	2 $1c = 1/2 = 0.5$	3 $1c = 4/3 = 1.34$	2 $1c = 0.5$

a) The table above shows the quantities of wheat and corn that can be produced in the United States and Germany under two different hypothetical cases.

Determine which commodities have absolute advantages and disadvantages in both countries.

CASE A

- US has the absolute advantage in Wheat
- Germany has the absolute advantage in Corn

CASE B

- US has the absolute advantage in Wheat
- US has the absolute advantage in Corn

b) Based on the table, determine which commodities have comparative advantages and disadvantages in each country.

CASE A

US has the comparative advantage in wheat
Germany has the comparative advantage in Corn

CASE B

US has the comparative advantage in wheat
Germany has the comparative advantage in Corn

4. Group Case Study: Exchange Rate Regimes & the Impossible Trinity

Groups and Cases

Group	Case Country	Exchange Rate Regime
Group 1	United States	Free Float
Group 2	Hong Kong	Hard Peg / Currency Board
Group 3	China	Managed Float / Capital Controls
Group 4	Saudi Arabia	Soft Peg
Group 5	Vietnam	Managed Float
Group 6	Argentina or Thailand (1997 Crisis)	Peg Failure / Currency Crisis

1. What exchange rate regime does your country use, and why did the country choose this system?

2. What are the main advantages and disadvantages of this exchange rate regime for: trade, inflation, investment, and financial stability?

3. Using the Impossible Trinity, identify:

-which TWO goals the country prioritizes,

-and which ONE goal it sacrifices. Explain whether this choice is appropriate for the country.

4. How does the government or central bank manage the exchange rate during economic or financial pressure/crisis?

5. Should the country continue using this exchange rate regime, or shift to another system? Why?

WEEK 2

In the early 1990s, Thailand was considered one of Asia's greatest economic success stories. The country experienced rapid economic growth, averaging around 8–9% annually, while foreign investors poured billions of dollars into the economy. Thailand maintained a **fixed exchange rate system in which the Thai baht was kept stable at roughly 25 baht per US dollar**. Because the exchange rate appeared secure and Thailand's economy seemed strong, international investors and banks became very confident about lending money to Thai businesses and financial institutions.

Thai banks and companies borrowed heavily in US dollars because **interest rates in the United States were lower than domestic rates in Thailand**. Borrowing from abroad was therefore cheaper and seemed less risky. Much of this foreign money flowed into **real estate, construction projects, and the stock market**, creating a major economic boom. Property prices rose rapidly, banks expanded lending aggressively, and many investors believed the growth would continue indefinitely.

However, serious structural weaknesses were developing beneath the surface. **Thailand was importing more than it exported**, creating a large **current account deficit**. At the same time, many Thai firms had borrowed in US dollars while earning revenues in Thai baht. This created a dangerous currency mismatch. As long as the exchange rate remained stable, the problem appeared manageable. But if the baht weakened, the value of their dollar-denominated debt would suddenly rise dramatically.

By 1997, **investors began losing confidence** in Thailand's economy. Export growth slowed, the real estate bubble showed signs of collapse, and questions emerged about whether Thailand's central bank possessed enough foreign exchange reserves to maintain the fixed exchange rate. International speculators started selling baht heavily, believing the currency was overvalued and would eventually collapse.

To defend the baht, the Thai central bank intervened aggressively by using **foreign exchange reserves to buy baht in the market**. It also raised interest rates in an attempt to attract foreign capital and discourage investors from moving money out of the country. Higher interest rates can sometimes stabilize a currency because they offer investors better returns for holding financial assets denominated in that currency. However, **higher interest rates also increase borrowing costs for businesses and households, slowing economic activity and worsening financial stress**.

Eventually, Thailand could no longer defend the exchange rate. On July 2, 1997, the government abandoned the fixed exchange rate system and allowed the baht to float freely. The currency immediately depreciated sharply, eventually losing more than half of its value against the US dollar. This depreciation created severe problems for Thai companies that had borrowed in dollars. Their debt obligations suddenly became far more expensive in baht terms, and many firms were unable to repay loans. Banks experienced massive losses, businesses collapsed, unemployment increased, and investor panic spread throughout the economy.

The crisis quickly spread beyond Thailand. Investors feared similar weaknesses existed in neighboring economies such as Indonesia, South Korea, and Malaysia. Capital rapidly flowed out of these countries as well, causing currency collapses and financial instability across Asia. This regional contagion became known as the Asian Financial Crisis.

Thailand eventually requested assistance from the International Monetary Fund (IMF). In exchange for emergency loans, the IMF required Thailand to implement economic reforms, including higher interest rates, reduced government spending, and banking sector restructuring. Supporters argued that these measures restored investor confidence and stabilized the financial system. Critics, however, argued that the policies worsened recession and unemployment during the crisis.

This case demonstrates the complex relationship between interest rates, exchange rates, balance of payments, inflation, and capital flows. It shows how rapid foreign capital inflows can fuel economic growth, but also create financial vulnerability when countries rely heavily on foreign borrowing and fixed exchange rates. It also illustrates the difficult tradeoffs governments face during financial crises: raising interest rates may support the currency, but can simultaneously damage economic growth and worsen recessionary conditions.

WEEK 3

Case 1: Airbus SE Hedging a \$500 Million Contract

Background Scenario

Airbus SE (Toulouse, France) has signed a contract to sell 5 long-haul aircraft to Vietnam Airlines for \$500,000,000 USD, with payment due in 12 months. All of Airbus's production costs are in EUR. Current EUR/USD spot rate: 1.0897. Airbus's CFO must decide: hedge the entire USD receivable with a 12-month forward contract, or remain unhedged and convert at whatever spot rate prevails in 12 months.

EUR/USD Forward Rate Schedule

Term	Bid Points	Bid Rate	Ask Points	Ask Rate
Spot	—	1.0897	—	1.0901
1 month	+17	1.0914	+19	1.0920
3 months	+53	1.0950	+54	1.0955
6 months	+112	1.1009	+113	1.1014
12 months	+242	1.1139	+245	1.1146

Discussion Questions

1. Is the EUR trading at a forward premium or discount relative to the USD? How do the forward points (all positive) indicate this?
2. Calculate Airbus's EUR revenue under two scenarios: (a) unhedged, if EUR/USD rises to 1.2500 in 12 months; and (b) hedged at the 12-month forward rate. Which scenario yields more euros for Airbus, and by how much?
3. To execute the hedge, Airbus must sell \$500M forward. As the seller of USD (buyer of EUR), does Airbus transact at the bid or ask rate in the table? Explain the logic from the dealer's perspective.
4. (Extension) Vietnam Airlines is paying \$500M USD for the aircraft. Does Vietnam Airlines face FX risk? If so, what type, and what hedging instrument could they use to manage it?

Case 2: JPMorgan Singapore — The Dealer's Desk

Background Scenario

You are a junior FX dealer at JPMorgan Singapore. At 10:00 AM, your desk is quoting EUR/USD 1.2170 / 1.2178. Three clients call in simultaneously: (A) Samsung Electronics wants to BUY EUR 2,000,000 to pay a German semiconductor supplier. (B) A Singapore hedge fund wants to SELL EUR 5,000,000, betting the euro will depreciate against the USD. (C) DBS Bank wants to exchange EUR 1,000,000 as part of a USD/EUR swap transaction.

JPMorgan Quote Board

Currency Pair	ISO Code	Bid	Ask	Spread (pips)
Euro	EUR/USD	1.2170	1.2178	8
Japanese Yen	USD/JPY	83.16	83.22	60
British Pound	GBP/USD	1.5548	1.5556	8
Canadian Dollar	USD/CAD	0.9928	0.9936	8

Discussion Questions

1. For each of the three clients (Samsung, hedge fund, DBS), identify: (a) which FX participant type they represent from the chapter's five-category taxonomy, and (b) whether they transact at the bid or ask rate, and why.
2. Calculate JPMorgan's gross spread profit in USD from Samsung's EUR 2,000,000 purchase. Show each step of your calculation clearly.
3. The hedge fund is classified as a speculator. Explain the role speculators play in FX markets. Are they harmful to market stability, or do they provide a useful function?
4. Why is the bid always lower than the ask? What would happen in practice if a dealer ever quoted bid > ask (a 'crossed market')?
5. (Extension) The USD/JPY spread is 60 pips while EUR/USD is only 8 pips. List three economic or structural reasons that explain why spreads differ across currency pairs.

Case 3: Singapore Arbitrage Desk — Triangular Arbitrage

Background Scenario

You are an FX arbitrage trader at a Singapore bank. At 9:03 AM, your Reuters terminal displays the following simultaneous quotes from three banks. Your execution system can complete all three legs in under one second. You have \$10,000,000 USD available. Transaction cost: a flat \$500 fee per leg (three legs total = \$1,500).

Live Market Quotes — 09:03:12 AM SGT

Bank	Pair Quoted	Rate	Meaning
HSBC Hong Kong	EUR/USD	1.3297	1 EUR costs \$1.3297
Barclays London	GBP/USD	1.5585	1 GBP costs \$1.5585
Deutsche Bank Frankfurt	GBP/EUR	1.1722	1 GBP costs EUR 1.1722

Discussion Questions

1. Using the Deutsche Bank and Barclays quotes, calculate the implied EUR/USD cross rate. Show your formula

2. Compare your implied rate to HSBC 's quoted rate. Is there a discrepancy? In which direction, and how large is it in pips?
3. Map out the three-leg arbitrage trade starting with \$10,000,000. For each leg, state: which bank, which currencies, direction, and the resulting amount. Calculate the final USD amount.
4. After deducting \$1,500 in total transaction fees, calculate the net profit in USD. Then scale: if the position were \$1,000,000,000, what would the net profit be (assuming linear scaling)?
5. (Extension) In real markets, such price gaps last milliseconds. Explain the self-correcting mechanism: what happens to each bank's quoted rates as arbitrageurs execute this trade? Who ultimately benefits from this process, and how?

WEEK 7

Case: Should Lotus Coffee Hedge Its Euro Receivable?

Background

Lotus Coffee Vietnam exports premium coffee to a buyer in Germany.

On 1 June 2026, Lotus ships coffee and invoices the customer **€500,000**, payable in **90 days**.

The CFO is worried that the euro may depreciate against the US dollar before payment is received.

The following market information is available:

Item	Value
Spot Rate	\$1.12 / €
90-day Forward Rate	\$1.10 / €
Vietnam (USD) deposit rate	4% p.a.
Euro deposit rate	3% p.a.
Euro borrowing rate	5% p.a.
Put Option Strike Price	\$1.11 / €
Option Premium	2% of contract value

The treasury department forecasts three possible future spot rates in 90 days:

Scenario	Spot Rate in 90 Days
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Pessimistic	\$1.00 / €
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Most Likely	\$1.10 / €
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Optimistic	\$1.20 / €
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Part A: Calculations

Question 1. If Lotus remains unhedged, calculate the USD proceeds under each of the three scenarios.

Question 2. If Lotus uses a forward hedge, calculate the guaranteed USD receipt.

Question 3. If Lotus uses a money market hedge, calculate:

- a) Amount of euros to borrow today
- b) USD obtained after conversion today
- c) USD value after 90 days

Question 4. If Lotus buys a put option, calculate the net USD receipt (after premium) under each future spot-rate scenario.

Part B: Comparison

Question 5. Complete the following table:

Strategy	Worst Outcome	Best Outcome	FX Risk Remaining?
Unhedged			
Forward			
Money Market			
Option			

Part C: Discussion Questions

Question 6. Why might the CFO choose a forward hedge even if it eliminates potential gains?

Question 7. Which strategy would shareholders who prefer stability likely support? Why?

Question 8. Suppose management strongly believes the euro will appreciate to \$1.20/€. Which strategy would be most attractive? Explain.

Question 9. Why do many multinational companies use forward contracts more frequently than options, despite options preserving upside potential?

Challenge Question (Bonus)

Lotus also needs to pay a German supplier **€450,000 in 90 days**.

Question 10.

- a) What is Lotus's net euro exposure?
- b) Is there a natural hedge?
- c) How much exposure remains after natural hedging?

d) Should the company still use financial hedging instruments? Explain your recommendation.

WEEK 9

Case Study

VinFast: Can a Vietnamese EV Company Become a Global Firm?

Background

It is August 2023.

VinFast has successfully entered the Vietnamese market and has ambitious plans to become a global electric vehicle manufacturer.

The company needs billions of dollars to finance:

- EV research and development
- Production facilities in Vietnam and North Carolina (USA)
- International marketing and distribution
- Charging infrastructure
- Expansion into Europe and North America

VinFast's management team is considering several financing options:

1. Raise additional equity only in Vietnam.
2. Cross-list shares in the United States.
3. Issue ADRs.
4. Merge with a SPAC and list on Nasdaq.
5. Issue international bonds.
6. Borrow in USD from international banks.

The board has hired you as an international finance consultant.

Part A: Sourcing Equity Globally

Information

Current financing sources:

- Domestic bank loans in Vietnam.
- Equity listed on HOSE.

- Little recognition among international investors.

Questions

1. According to Exhibit 14.1, what should be VinFast's path to global capital markets?
2. Why would raising capital only in Vietnam be insufficient?
3. Why is improving disclosure important before approaching foreign investors?
4. Why should VinFast hire international investment banks?

Part B: Optimal Financial Structure

Information

VinFast's investments require approximately USD 5 billion.

Management is considering:

Financing Source	Amount
Equity	40%
Debt	60%

The company generates revenues from:

- Vietnam
- United States
- Europe
- Indonesia.

Questions

1. Why might VinFast be able to carry more debt than a purely domestic Vietnamese company?
2. Which of the four MNE variables apply to VinFast?
3. How does international diversification reduce bankruptcy risk?
4. Why may foreign investors still demand a high return?

Part C: ADR or Direct Listing?

Scenario

Suppose before the SPAC merger, VinFast considered issuing ADRs.

Current share price:

120,000 VND

Exchange rate:

25,000 VND/USD

Investment bank proposes:

1 ADR = 5 shares.

Questions

1. Calculate the ADR price.
2. Is the ADR price within the conventional \$20-\$50 range?
3. Why would American investors prefer ADRs instead of directly buying Vietnamese shares?
4. Which ADR level would VinFast need if it wanted to issue new shares in the U.S.?

Part D: The Real Decision – SPAC Listing

Information

VinFast decided to merge with Black Spade Acquisition.

The transaction valued the company at approximately \$23 billion.

After listing:

- More than 99% of shares remained controlled by insiders.
- Less than 1% of shares were publicly traded.

The stock price surged dramatically.

Questions

1. Why did VinFast choose a SPAC instead of a traditional IPO?
2. Why did the stock price become extremely volatile?
3. Did VinFast immediately raise a large amount of cash from the listing?
4. What are the advantages and disadvantages of this strategy?

Part E: Foreign Equity Listing Objectives

Which of the four objectives of foreign listing apply to VinFast?

Part F: Raising Debt Globally

Scenario

VinFast needs another USD 1 billion.

Management is considering:

Option A

USD Eurobond.

Option B

USD syndicated bank loan.

Option C

JPY-denominated loan at only 2%.

Questions

1. Which option is likely to have the lowest disclosure requirements?
2. Why would banks syndicate the loan?
3. Why may the JPY loan become expensive?
4. How can VinFast hedge the currency risk?

Final Decision Task (PBL)

Each group acts as VinFast's Board of Directors.

Prepare a 10-minute presentation answering:

1. Should VinFast raise equity or debt?
2. Should it issue ADRs, conduct a traditional IPO, or use a SPAC?
3. What should its optimal capital structure be?
4. How should it manage FX risk?
5. Would you have recommended the same strategy that VinFast actually used?

Week 10

Part A. Basic Application (Easy)

Question 1. Choosing a Payment Method

A Vietnamese coffee exporter receives its first order from a new buyer in Brazil worth **USD 250,000**.

The buyer asks for **open account** terms because they have done business with other suppliers this way.

Questions

1. What type of trade relationship exists?
 2. What risks does the exporter face?
 3. Would you recommend open account or Letter of Credit? Explain.
-

Question 2. Trust Problem

Why do international trade transactions generally require banks to act as intermediaries while domestic transactions often do not?

Give at least **three reasons**.

Question 3. Identifying Documents,

Match each function with the correct document.

Function	Document
Guarantees payment	?
Transfers ownership of goods	?
Orders payment	?

Explain why each document is important.

Part B. Intermediate Analysis

Question 4. Timeline Analysis

An exporter ships goods on **March 1**.

The importer accepts the documents on **March 10**.

Payment will be made **90 days after acceptance**.

Questions

1. When does financing begin?
 2. When does financing end?
 3. During which period is the exporter exposed to default risk?
-

Question 5. Selecting the Best L/C

A Cambodian importer wants to buy machinery worth **USD 1 million** from Germany.

The importer is financially stable.

However, its local bank has a weak international reputation.

Which Letter of Credit should be used?

Explain.

Question 6. Risk Analysis

Identify who bears the greatest risk in each situation.

- a. Cash in advance
- b. Open account
- c. Irrevocable confirmed Letter of Credit

Explain your reasoning.

Part C. Numerical Problems

Question 7. Discounting a Banker's Acceptance

An exporter has a **120-day Banker's Acceptance** with a face value of **USD 400,000**.

Annual discount rate = **1.5%**

Calculate

- a. Discount amount
 - b. Cash proceeds
-

Question 8. Comparing Financing Methods

A company must finance a receivable of **USD 500,000** for **6 months**.

Option A

Banker's Acceptance

Discount rate = 1.4%

Option B

Bank Credit Line

Interest = 5%

Questions

1. Calculate financing cost under each option.
 2. Which option is cheaper?
 3. Why?
-

Question 9. Forfaiting

An exporter owns **USD 2 million** in promissory notes due in **2 years**.

A forfaiter offers a **5% annual discount (simple interest)**.

Calculate

1. Total discount
 2. Cash proceeds
 3. Why might the exporter still accept this offer?
-

Part D. Case Analysis

Question 10. Choosing the Best Financing Method

ABC Vietnam exports electronics.

Buyer A

- Long-term customer
- Excellent payment history

Buyer B

- New customer
- High political risk country

Recommend the most appropriate payment method for each customer.

Justify your answers.

Question 11. Missing Document

An exporter submits a Letter of Credit and Draft but forgets to provide the Bill of Lading.

Can the bank make payment?

Explain why.

Question 12. Bank Refuses Payment

An exporter presents documents under an irrevocable Letter of Credit.

The documents contain several spelling mistakes and the invoice amount differs from the L/C by USD 500.

The bank refuses payment.

Questions

1. Is the bank legally justified?
 2. Why?
 3. What lesson should exporters learn?
-

Part E. Critical Thinking

Question 13. Should Governments Support Export Financing?

Some economists argue that export credit agencies distort competition.

Others believe they are necessary.

Discuss

- Advantages
 - Disadvantages
 - Your opinion
-

Question 14. Future of Trade Finance

How might AI and blockchain reduce the need for traditional trade finance documents?

Discuss at least three possible innovations.

Question 15. Integrated Case

Vietnam Furniture Co. exports furniture worth **USD 800,000** to South Africa.

Facts

- First transaction
- Shipment by sea
- Payment due in 90 days
- Importer's bank has moderate credit quality
- Exporter wants immediate cash after shipment

Questions

1. Which Letter of Credit would you recommend?
 2. Which type of draft should be used?
 3. Why is the Bill of Lading important?
 4. How can the exporter receive cash immediately?
 5. Which party bears the greatest risk after shipment?
-

Bonus Group Activity (15–20 minutes)

Scenario: Become the Trade Finance Consultant

Each group acts as a consulting team for a Vietnamese exporter.

Your client asks:

"We have never traded with this foreign buyer before. We want to receive payment as safely and cheaply as possible."

Prepare a recommendation including:

1. Payment method
2. Type of Letter of Credit (if any)
3. Type of Draft
4. Type of Bill of Lading
5. Financing method after shipment
6. Major risks
7. Risk mitigation strategies

Week 11

Foreign Direct Investment and Political Risk

VinFast's Expansion into Indonesia: Growth Opportunity or Political Risk?

Background

VinFast has become one of Southeast Asia's fastest-growing electric vehicle (EV) manufacturers. After establishing its domestic market in Vietnam, the company is considering expanding into Indonesia.

Indonesia offers attractive opportunities:

- Population over 280 million
- Strong government support for EV production
- Large nickel reserves (critical for EV batteries)
- Rapidly growing middle class
- Lower labor costs than many developed markets

Indonesia also presents challenges:

- Foreign ownership regulations may change
- Local-content requirements oblige manufacturers to source components locally
- Currency (rupiah) fluctuations increase financial uncertainty
- Environmental groups criticize nickel mining
- Future governments may revise investment incentives
- Regional political tensions occasionally disrupt shipping routes

VinFast's board has asked management to answer three questions:

1. Should VinFast invest in Indonesia at all?
2. Through which mode of entry?
3. How should it manage the political risk that follows?

Part A — Competitive Advantage and the OLI Paradigm

~20 minutes

Concept Primer

Before a firm can justify investing abroad, it needs a competitive advantage that is (1) firm-specific — unique to the company, not just the industry, (2) transferable across borders, and (3) strong enough to offset the extra costs and risks of operating in an unfamiliar market. Six sources typically generate this kind of advantage:

Economies of scale & scope — cost advantages from size, across production, marketing, finance, R&D, transport, or purchasing.

Managerial & marketing expertise — skill managing large, complex organizations and applying modern analytical techniques.

Advanced technology — scientific/engineering capability, often the hardest advantage for rivals to copy.

Financial strength — access to global capital at competitive cost — the variable that funds FDI in the first place.

Differentiated products — brand identity built through R&D-driven innovation or heavy marketing investment.

Competitiveness of the home market — a tough home market sharpens a firm's edge versus rivals from

weaker markets. Porter's Diamond explains why: four interacting forces — factor conditions, demand conditions, related & supporting industries, and firm strategy/structure/rivalry — shape how competitive a home market is.

Once a firm has an advantage, the OLI Paradigm explains whether FDI — rather than exporting or licensing — is the right way to exploit it abroad: Ownership (does the firm have a transferable advantage?), Location (does the target market let the firm exploit it?), and Internalization (is it better to keep control in-house than license it out?). Generally, a firm needs all three conditions to hold before FDI makes sense — strong O without an attractive L usually points toward exporting or licensing instead.

Firms also fund and pursue FDI through two types of financial strategy: proactive strategies that actively seek advantage (e.g., competitive capital sourcing, cross-listing, disclosure transparency) and reactive strategies that respond to market conditions as they arise (e.g., hedging exchange-rate movements, adapting to capital controls).

Question 1 — Sources of Competitive Advantage

The chapter identifies six specific sources a firm's competitive advantage typically comes from. For each, decide whether VinFast plausibly has it, and briefly explain why or why not.

Source of Advantage	Does VinFast have it?	Evidence / Reasoning
Economies of scale & scope		
Managerial & marketing expertise		
Advanced technology		
Financial strength		
Differentiated products (brand)		
Competitiveness of the home market		

Discussion: A firm's advantage must be firm-specific, transferable, and strong enough to offset the extra risk of operating overseas. Which of VinFast's advantages best satisfies all three conditions? Which is weakest — and does that change your Question 7 recommendation later?

Question 2 — Porter's Diamond

Porter's Diamond explains competitiveness through four interacting determinants: factor conditions, demand conditions, related & supporting industries, and firm strategy/structure/rivalry.

Briefly apply the Diamond to Vietnam's EV/automotive industry. Does Vietnam's home market plausibly sharpen VinFast's competitiveness the way the Diamond predicts, or is VinFast's advantage coming from somewhere else (e.g., state support, first-mover position)?

Question 3 — Apply the OLI Paradigm

OLI	Application to VinFast
Ownership — the transferable, firm-specific advantage	
Location — what makes Indonesia attractive vs. staying home or exporting	
Internalization — why keep control internally rather than license it out	

Does VinFast satisfy all three conditions for FDI? Recall the chapter's quick check: a strong O with no attractive L makes FDI unlikely — exporting or licensing would dominate instead. Test VinFast against that rule explicitly.

Question 4 — Financial Strategy

The chapter distinguishes proactive financial strategies (actively pursuing advantage — competitive sourcing of capital, cross-listing, disclosure transparency, tax/financial subsidies, reducing agency costs through FDI) from reactive strategies (responding to market imperfections as they appear — exploiting exchange-rate or stock-price movements, reacting to capital controls, minimizing taxation).

Give one concrete example of each that VinFast could use to fund and finance its Indonesian entry.

Part B — Where and How to Invest

~25 minutes

Concept Primer

Firms rarely scan the whole world at once for the single best location. In practice, the location decision unfolds sequentially — firms escalate their commitment step by step, and a first-time overseas investment is a different decision than reinvesting once a firm already has experience abroad.

Once a location is chosen, a firm picks among modes of foreign involvement, roughly ordered by rising commitment, control, and risk:

Exporting — serve the market by shipping product from home. Lowest investment, but exposed to local imitators.

Licensing — license technology/brand to a local firm for a fee. Low investment, but risks technology theft and lost quality control.

Management Contract — manage foreign operations for a fee. Limited investment and political risk (managers are easy to repatriate), but no equity upside.

Joint Venture — share ownership with a local partner. Gains local knowledge and contacts, but risks partner conflict and disclosure disputes.

Wholly Owned Subsidiary — full ownership and control. Highest capital commitment and political-risk exposure, but complete control of strategy, technology, and profits.

Strategic Alliance — a flexible, loosely defined form of cooperation between firms, without full commitment on either side.

Firms competing as “global challengers” in emerging markets also face three trade-offs they can rarely optimize all at once: growing market share vs. protecting margins (volume vs. margin), expanding rapidly vs. keeping leverage low (expansion vs. leverage), and reinvesting for growth vs. paying dividends (growth vs. dividends).

Question 5 — The FDI Sequence

The chapter notes that in theory a firm searches worldwide for the country offering the best risk-adjusted return; in practice, firms follow a sequential, behavioral pattern — escalating commitment step by step.

Is VinFast's move into Indonesia best understood as a first-time overseas investment or a case of escalating commitment from prior experience? Does that history change how cautiously it should proceed in Indonesia?

Question 6 — Comparing All Entry Modes

VinFast is weighing all the modes covered in the chapter — not just two or three of them.

Entry Mode	Advantage	Main Risk / Trade-off
Exporting		
Licensing		
Management Contract		
Strategic Alliance		
Joint Venture		
Wholly Owned Subsidiary		

Question 7 — Recommend ONE Entry Mode

Your recommendation must weigh:

- Political risk exposure
- Investment cost / capital commitment
- Control over strategy and technology
- Technology protection
- Long-term profitability

State your recommendation and defend it against the next-best alternative — why not that one instead?

Question 8— The Three Strategic Trade-offs

“Global challengers” competing in emerging markets face three simultaneous tensions, and few firms can optimize all three at once.

1. Volume vs. Margin — chasing market share can mean sacrificing per-unit profitability. Choose: should VinFast (A) grow market share quickly, or (B) protect high profit margins? Justify.

2. Rapid Expansion vs. Low Leverage — growing fast often means financing with more debt. If VinFast wants to expand quickly into Indonesia, what does that imply about its likely debt levels and financial risk? Is VinFast in a position to take on that leverage?

3. Growth vs. Dividends — reinvesting cash for growth competes directly with paying it out. Should VinFast pay dividends to shareholders, or reinvest all profits into Indonesian expansion? Justify.

Discussion: Analysts disagree on whether these three trade-offs are causally linked (e.g., choosing volume forces higher leverage) or simply occur simultaneously. Where do you land, using VinFast as the example?

Part C — Defining Political Risk

~20 minutes

Concept Primer

Political risk is usually classified into three categories based on who it affects:

Firm-specific (micro) risk — affects one company's own operations or projects.

Country-specific (macro) risk — affects all firms, domestic and foreign, resident in a host country.

Global-specific risk — cross-border developments — economic, political, or social — with effects spanning multiple countries.

Separately from this classification, firms assess risk at two levels: macro-level assessment looks at a host country's overall political stability and attitude toward foreign investors before investing; micro-level assessment asks whether a specific firm's own activities are likely to conflict with host-country goals. As a general pattern, firm-specific risk is easiest to predict (it depends on due diligence on the firm itself), country-specific risk is harder (political risk analysis is still an emerging field), and global-specific risk is hardest of all, since it depends on developments outside any single country's control.

Question 9 — Classify Each Event

Classify each event as firm-specific (affects only VinFast), country-specific (affects all firms in Indonesia), or global-specific (crosses borders).

Event	Firm	Country	Global
Indonesian government raises corporate tax for every company			
A local labor union protests only at VinFast's factory			
A cyberattack disrupts international shipping networks			
Indonesia restricts foreign-exchange transfers for all foreign firms			
A worldwide recession reduces EV demand			

Event	Firm	Country	Global
A competitor's Indonesian factory is targeted over labor practices			

Question 10 — Which Is Hardest to Predict?

Rank firm-, country-, and global-specific risk from easiest to hardest to predict, and explain why — using the events in Question 10 as evidence.

Part D — Managing Political Risk

~25 minutes

Concept Primer

Governance risk is the ability to exercise effective control over an MNE's operations within a host country's legal and political system. The best defense is anticipating conflicts and negotiating understandings ahead of time.

Investment agreements spell out both the firm's and the host government's rights and responsibilities up front — though they are commonly revised later as conditions change.

OPIC (the U.S. Overseas Private Investment Corporation) historically insured U.S. investors' overseas investments against four risks: inconvertibility, expropriation, war, and political business-income loss. In 2019, OPIC was folded into its successor, the U.S. International Development Finance Corporation (DFC), which offers the same categories of political risk insurance. Either way, this kind of U.S. government insurance is built around U.S. investor/sponsor involvement — a firm with no U.S. nexus needs a different insurer.

Blocked funds occur when a host government restricts the transfer of foreign exchange out of the country, typically because it's short of reserves. Firms respond by moving funds (e.g., transfer pricing, lead/lag payments), restructuring the flow (e.g., fronting loans), or planning for the worst case (e.g., accepting forced reinvestment).

Operating strategies after the FDI decision include adjusting local sourcing, facility location, technology control, market control, and financing structure (thin equity, multiple-source borrowing).

Cultural & institutional risk is a further country-specific category covering differences in ownership rules, HR norms, religious heritage, corruption, intellectual property protection, and protectionism.

Scenario: VinFast has now invested. One year in: the government delays approval for profit repatriation, local suppliers demand higher prices, and new environmental regulations raise production costs.

Question 11 — Governance Risk and Investment Agreements

Before any of this happened, VinFast could have negotiated an investment agreement with Indonesia up front, spelling out both sides' rights and responsibilities. Now that problems have emerged:

- (a) What kind of terms should VinFast have tried to lock in before investing, specifically around repatriation and environmental compliance?
- (b) Given that agreements are often revised after the fact, what should VinFast do now that the original terms are under pressure?

Question 12 — Recommend Five Operating Strategies

Using the chapter's list of post-investment levers — local sourcing, facility location, transportation control, technology control, market control, brand/trademark control, thin equity base, multiple-source borrowing — recommend five specific actions VinFast should take in response to the scenario above. For each, name the lever and explain how it addresses one of the three problems (repatriation delay, supplier costs, or environmental costs).

Question 13 — Blocked Funds

Profit repatriation is being delayed — a form of blocked funds. The chapter groups responses into three strategies: move the funds (alternative repatriation conduits, transfer pricing, lead/lag payments), restructure the flow (fronting loans, unrelated exports, special dispensation), and plan for the worst case (anticipating restrictions, accepting forced reinvestment).

Pick one specific tactic from each strategy and explain how VinFast could apply it in Indonesia.

Question 14 — Political Risk Insurance: A Careful Look

A common instinct is to reach for OPIC (the U.S. Overseas Private Investment Corporation), which historically insured against inconvertibility, expropriation, war, and political business-income loss.

Note: OPIC was reorganized into the U.S. International Development Finance Corporation (DFC) in 2019. DFC offers the same categories of political risk insurance, so the analysis below applies to either name.

Catch: This kind of U.S. government insurance is built around U.S. investor or sponsor involvement. VinFast is a Vietnamese company investing in Indonesia with no U.S. nexus — OPIC/DFC coverage would not apply directly.

- (a) Given that, what alternative sources of political risk insurance might a Vietnamese MNE realistically use (e.g., MIGA — the World Bank Group's Multilateral Investment Guarantee Agency, private political-risk insurance markets, or Vietnam's own export-import/investment-guarantee agencies)?
- (b) Regardless of which insurer, evaluate whether each situation below is the type of risk political risk insurance typically covers:

Situation	Covered by political risk insurance? (Yes/No)
Government nationalizes the factory	

Situation	Covered by political risk insurance? (Yes/No)
Currency cannot be converted	
Global recession reduces demand	
Civil war	
Lost income caused by political violence	

Question 15 — Cultural and Institutional Risk

Beyond transfer risk, country-specific risk also includes cultural and institutional risk: ownership rules, HR/labor norms, religious heritage, nepotism and corruption, intellectual property protection, and protectionism.

Nickel mining in Indonesia draws environmental criticism (noted in the background). Which cultural/institutional risk category does this fall under, and what should VinFast do about it before it escalates into a country-specific regulatory problem?